No one knows. But the smart money knows how to bet. Looking at the big picture, the long-term picture—the part of the picture the efficient market hypothesis says is not worth looking at—tells us to bet against the dollar and against U.S. Treasury debt.

Maybe the central bankers have finally gotten the hang of running a paper money system without the discipline of gold behind it. Most likely, they have not. And if they have not, gold will be the ultimate victor. As paper money declines in value, gold—nature's own money—will rise.

The whole situation is one for the history books. Four decades of paper money—with effectively no limit on credit expansion—have created mountains of debt in all the developed countries. Now private sector debts are being sloughed off and asset prices wobble, making investors fearful and skittish. The more they sweat, the more they seek the safety of U.S. Treasuries and the lower interest rates go. Low rates delay Armageddon. If Japan is any indication, the final catastrophe maybe be put off almost indefinitely.

But the economy continues on the road to hell—and picks up speed. When it will finally arrive, we don't know. But we bet the price of gold will be higher when we find out.

Notes

1. Text of Bush's speech at West Point, *New York Times*, June 1, 2002.
2. Detlev S. Schlichter, "Forty Years of Paper Money," *Wall Street Journal*, Aug. 15, 2011.
3. "Remarks by Governor Ben S. Bernanke before the National Economists Club," Nov. 21, 2002, www.federalreserve.gov/boarddocs/speeches/2002/20021121/default.htm.
4. Carmen M. Reinhart and Kenneth S. Rogoff, "Growth in a Time of Debt," *American Economic Review Papers and Proceedings*, January 2010.